

Paradiem

The Morning Brief

AUGUST 14, 2026

Cool Print, Hot Pipeline

S&P 500 prints a fresh record on tame July CPI as the core PPI surge complicates the disinflation read into Retail Sales Friday.

S&P 500 (THU CLOSE)	NASDAQ (THU)	WTI (USO THU)	BITCOIN (IBIT THU)	FEAR & GREED (CNN)
\$777.88 · ↑0.70%	\$732.07 · ↑1.16%	\$125.03 · ↓1.78%	\$35.88 · ↓0.03%	62 · Greed

SECTION 01

Markets — Fresh Record on Cool CPI as Core PPI Surge Reframes the September Path

SECOND STRAIGHT SESSION OF COOL-DATA RISK-ON INTO RETAIL SALES

Thursday extended Wednesday’s CPI-driven reset. Per data drop, the S&P 500 (SPY) closed ↑0.70% at \$777.88, the Nasdaq (QQQ) closed ↑1.16% at \$732.07 — per CNBC, TheStreet, and Bloomberg coverage a fresh S&P 500 closing record above 7,800 for the first time with the intraday high near 7,816.70. Per Yahoo Finance and Spectrum Local News coverage of the tape, the rally was carried by cooler-than-expected July CPI (+0.1% MoM headline, 3.4% YoY, in line with consensus per NBC, Kiplinger, and FXStreet) and a softer oil complex (USO ↓1.78%, BNO ↓1.93%). The composition read is what makes the Thursday session distinctive: XLC led at ↑2.07% and XLK at ↑1.01% per data drop, while XLE closed essentially flat (↑0.05%) and XLB lagged at ↓0.51% — a mega-cap-tech and comm-services print, not the small-cap or cyclical rotation the CPI-relief tape usually delivers. Per CME FedWatch coverage cited by NBC, September rate-hike odds continued to compress; Kiplinger reported the print lowered September hike odds materially against the pre-CPI setup. Overnight, per Benzinga coverage of the Friday pre-market tape, S&P 500 futures were essentially flat (↑0.01%), Dow futures ↑0.06%, Nasdaq 100 futures ↓0.15%, and Russell 2000 futures ↓0.08% into July Retail Sales at 8:30 AM ET.

S&P 500 (SPY THU)	\$777.88 · ↑0.70%
NASDAQ (QQQ THU)	\$732.07 · ↑1.16%
WTI (USO THU)	\$125.03 · ↓1.78%
BRENT (BNO THU)	\$49.74 · ↓1.93%
TLT (20Y THU)	\$82.59 · ↑0.58%
UVXY (THU)	\$20.52 · ↑0.93%
HUT (THU)	\$82.95 · ↓8.62%
RETAIL SALES	Fri Aug 14 · 8:30 AM ET per Census

PPI CORE SURGE IS THE SLEEPER UNDER THE COOL CPI PRINT

The July PPI print landed alongside the equity rally with a headline that was unchanged month-over-month, but the composition beneath it complicates the disinflation read. Per Techtimes coverage of the BLS release, core PPI excluding food, energy, and trade services surged ↑0.4% MoM, quadrupling June’s +0.1% pace and marking the strongest core services impulse in several months; final-demand services rose +0.2% while goods fell ↓0.7%. Twelve-month final demand printed +4.7% per BLS. The equity tape traded the CPI print at face value; the PPI print suggests the pipeline into August-September PCE (August 26 release) may not extend the disinflation glidepath the market’s FedWatch curve has priced. Per data drop, TLT closed ↑0.58% at \$82.59 — a modest

duration bid consistent with the CPI-driven front-end path, not yet reflecting the PPI-driven back-end signal. The FCI dividend sleeve retains higher-duration positioning through NEE (↑0.27%), ATO (↑0.22%), and CEG (↓0.01% essentially flat per data drop); the AI-power complex traded constructively with EIX ↑1.84% Thursday. The composition tension — cool headline CPI, hotter core PPI — is the setup Chair Warsh takes into the September meeting.

CISCO BEAT SELLS OFF ON GROSS MARGIN COMPRESSION; AMAT BEATS SETS UP THE SEMI TAPE

Per gurufocus, TradingKey, and 24/7 Wall St. coverage of the after-close release, Cisco reported fiscal Q4 revenue of \$17.25B (vs \$16.83B consensus) and adjusted EPS of \$1.22 (vs \$1.17), with AI infrastructure orders at \$4B in Q4 alone and full-year AI orders at \$9.3B (vs the \$9B target management had raised earlier in the year). Guidance for the

current quarter came in at \$18.0–\$18.2B revenue and \$1.32–\$1.34 EPS — above consensus. Despite the beat, per gurufocus and ad-hoc-news coverage the stock fell roughly 7% after hours as non-GAAP gross margin compressed to 66.3% from 68.4% year-over-year, and product gross margin fell to 64.8% from 67.5%. Applied Materials also reported with EPS \$3.50 vs \$3.4544 estimate per data drop — a beat that carried through the semi tape. LRCX closed ↑3.34% at \$337.01 per data drop, tied to a Lam-announced \$3B global lab expansion per Yahoo coverage. The Thursday AI-interconnect and semi print was mixed: MRVL ↑2.35%, QCOM ↑1.05%, TEL ↑0.25%, NVDA ↑0.54%, but CRDO ↓0.81% and NXPI ↓0.64%. The Cisco margin read informs the read-across into CRDO's next print and NVDA's August 26 report; the FCI AI-interconnect and AI-power sleeves remain the operative expression of the "physical world matters" thesis.

A cool print with a hotter pipeline and a beat that sells off on gross margin is a composition tape, not a trend tape. Avoid Erosion.

SECTION 02

Geopolitics — Bessent Signals Indefinite Blockade as Hormuz Traffic Stays Subdued

TREASURY ESCALATES SANCTIONS RHETORIC; TRUMP REASSERTS NAVAL CONTROL OF THE STRAIT

Per Reuters headlines carried in the data drop and Al Jazeera coverage of the Thursday statement, Treasury Secretary Bessent said the US would apply measures against Iran the world had never seen before, and Trump told reporters the US Navy has full control of the Strait of Hormuz and has swept the waterway for mines. Per the same coverage, the US said it can maintain the naval blockade on Iran indefinitely. Physical traffic remains a fraction of pre-conflict throughput — between eight and 15 vessels crossed the strait daily on August 4–6 per MarineTraffic data cited by Al Jazeera, against a roughly 130 daily transit baseline before the conflict. The equity tape traded Thursday off the CPI relief, not the Iran escalation: USO closed ↓1.78% and BNO ↓1.93% per data drop, a reading that suggests near-term diplomatic noise and demand-side softness are dominating the physical-friction bid. Per Reuters coverage carried in the data drop, Indian shares slipped on the indefinite-blockade language while Asian equities held modestly bid as rate-hike fears faded. For the FCI energy sleeve (CVX ↑0.56%, CNX ↓1.01%, OKE ↑0.18% Thursday per data drop), the setup is a physical-friction floor with a diplomatic-noise ceiling — the vector that has framed the crude tape since late February.

IEA FLAGS STOCKPILE DRAWDOWN AS REOPENING GROWS MORE PRESSING

Per Reuters coverage of the Thursday oil tape, oil rose intraday after the US indefinite-blockade language before settling lower on the session as inventory data softened the

read. Separately, per CNN and Bloomberg coverage carried in the data drop, the International Energy Agency warned that the world is burning through oil stockpiles at a rapid pace and that reopening the Strait of Hormuz is becoming more pressing. Per Al Jazeera coverage of the Iranian Foreign

Minister's posture, Tehran and Oman remain close to an agreement on a Hormuz shipping arrangement, but the waterway will not reopen until Washington meets the six-point precondition list. Per the same coverage, Trump has raised the bar for reopening by requiring compensation from Iran — a mirror of Tehran's earlier war-damage demand. If the six-point framework and the White House's counter-demands remain unresolved into the balance of Q3 with the IEA flagging inventory pressure, the physical-friction floor under the crude complex would tend to firm. The FCI energy exposure (CVX, CNX, OKE) sits with a two-tail read: near-term demand-side softness against a persistent supply-side friction that has not resolved.

REGIONAL READ: CHINA E-TRUCK EXPORT SURGE READS AS SECOND-ORDER EFFECT

Per Reuters coverage carried in the data drop, the Iran war has become a boon for China's electric-truck exports, fuelling a surge as Middle East logistics chains reroute around Hormuz and Bab al-Mandeb friction. The read informs the industrial rotation tape: XLI closed essentially flat (↓0.05%) Thursday per data drop while XLB lagged at ↓0.51%, a differentiation that argues the tape is beginning to price second-order supply-chain effects rather than a pure commodity-vs-tech split. Per Vela Nova strike coverage in Tuesday's brief carried through Thursday's tape, the kinetic-enforcement threshold on the US blockade remains in place with no publicly disclosed follow-on interdiction Thursday. LMT closed ↓1.44% at \$598.01 per data drop — a defense-sleeve fade against a broadly risk-on session that argues the tape is discounting the Iran vector at the sector level even as the physical enforcement posture stiffens.

SECTION 03

On Our Radar

1. July Retail Sales at 8:30 AM ET — Consumer Read Post-CPI Relief. Per Census release calendar coverage on financecalendar.com, July advance retail sales land Friday, August 14 at 8:30 AM ET. Per FXStreet coverage of nine-bank forecasts, headline is expected at +0.4% MoM against +0.2% in June, ex-autos at +0.4%, and the GDP-input control group at +0.5% vs +0.6% prior. Supports flagged in the preview include Amazon Prime Day online spend, building and auto pickup, and bars/restaurants. The composition read matters more than the headline: a soft control-group print into the September FOMC compresses the demand-side counterweight against the cool CPI; a firm print supports the Chair Warsh reaction-function frame carried in prior briefs. Preliminary University of Michigan Consumer Sentiment follows at 10 AM ET per University of Michigan calendar; July was revised to 55.2 from a preliminary 54.0, and the August print will inform whether the recent rebound extends. Industrial Production follows next week per financecalendar.com.

2. Miner Bifurcation Deepens — HUT Q2 Revenue Miss Confirms Fundamental Gap vs ETF Flow Tape. HUT closed ↓8.62% at \$82.95 Thursday per data drop and was the FCI bottom mover by a wide margin; MARA closed ↓4.46% at \$9.21. Per Yahoo Finance coverage of the HUT Q2 release, the miner slipped after a mild Q2 revenue miss even as the AI data-center pipeline continued to grow — a read that confirms the ETF-inflow-vs-miner-performance bifurcation flagged across prior briefs. Bitcoin (IBIT) closed essentially flat at \$35.88 (↓0.03%) per data drop, and ETHA closed ↑0.49% at \$14.23 — the ETF sleeve absorbing the miner drawdown without visible spillover. Per CoinDesk and Kraken coverage carried in prior briefs, spot Bitcoin ETF flows reversed on August 10 with roughly \$145M in net outflows after five straight days of inflows totaling \$854M through August 7. For FCI positioning through IBIT and ETHA, the ETF-flow persistence remains the dominant read; for the miner sleeve, the HUT Q2 print reframes the AI-datacenter conversion economics thesis Bernstein and other sell-side had extended over the summer.

3. AMAT Beats, LRCX ↑3.34% on \$3B Lab Expansion — Semi Capex Cycle Confirmed. Applied Materials reported EPS \$3.50 vs \$3.4544 estimate per data drop — a modest beat that carried the read-through into Lam Research, which closed ↑3.34% at \$337.01 per data drop after announcing plans to invest more than \$3B to expand its global lab network per Yahoo coverage. The pair confirms that the wafer-fabrication and semi-capex cycle continues to run against the Cisco-driven gross-margin concern in networking. FCI semi-adjacent exposure through LRCX, QCOM (↑1.05% Thu), NXPI (↓0.64%), and TSM (↑0.31%) tracks a differentiated tape: the capex-provider names are the direct beneficiaries; the fabless names sit closer to the Cisco-margin-compression read. NVDA closed ↑0.54% at \$225.30 per data drop into its August 26 earnings print, the single-most-important AI-thesis catalyst on the near-term calendar.

4. Comm Svcs Leads at ↑2.07%; Materials Lags at ↓0.51%. The XLC ↑2.07% sector print Thursday per data drop was the tape's tell: mega-cap comm-services carried the CPI-relief bid while XLK ↑1.01% and XLY ↑0.47% underperformed. XLE closed essentially flat at ↑0.05% and XLB lagged at ↓0.51% — a sector split that argues the CPI-relief tape rewarded duration-sensitive and secular-growth exposure rather than a broad cyclical rotation. Per data drop, HOOD closed ↑4.70% at \$99.37 as the top FCI mover, SPGI ↑3.07% at \$422.67 (per SeekingAlpha coverage on AI-disintermediation framing), FTNT ↑2.86% at \$165.44, and SOFI ↑2.73% at \$18.43. The bottom mover list — HUT ↓8.62%, MARA ↓4.46%, YMM ↓4.32%, FCX ↓3.45%, HRMY ↓3.19% — captures the miner reset and a commodity-sensitive fade on the softer crude session. FCX at ↓3.45% extends the copper-complex fade against a firming semi-capex tape.

5. Precious Metals Fade on Rate-Hike-Off Reset; Gold GLD ↓1.47%, Silver SLV ↓1.52%. GLD closed ↓1.47% at \$398.96 and SLV closed ↓1.52% at \$58.16 Thursday per data drop — a precious-metals fade against a session that reset September Fed hike odds materially lower. The move argues the metals bid over recent sessions had carried a rate-tightening hedge component that unwound on the CPI print rather than a pure geopolitical-hedge bid. AEM closed ↓2.60% at \$180.36 per data drop, extending the fade. For FCI positioning through AEM inside the growth sleeve, the read tests whether the metals tape has begun to price the CPI-relief thesis as durable or whether the core-PPI surge reasserts a hedge bid next week. The precious-metals correlation with the AI-power complex (CEG, EIX, VST) has been episodic; the Thursday session read those two vectors as opposed rather than correlated.

6. Carson's SPY \$645.80 Support Remains Active; No Levels Hit Thursday. Per levels.json, Carson's active SPY support at \$645.80 remains untouched through Thursday's \$774.11–\$779.37 S&P 500 intraday range per data drop and now sits approximately 17.0% below the current tape. No active resistance levels are on the book following the April 14 breakout of the \$691.90–\$693.20 major zone. With Retail Sales at 8:30 AM ET, Michigan Sentiment at 10 AM ET, Cisco's gross-margin reset carrying into the semi complex, HUT's Q2 miss reframing the miner sleeve, and Treasury's indefinite-blockade language holding the Iran vector in place, the pre-committed deployment discipline (70% of reserves at –25% drawdown, remaining 30% at –40%) continues to frame reactive positioning against any single-day gap.